

buy it outright; what type of insurance should I buy; should I purchase a service contract; and what can I afford?

Without research prior to visiting the dealer, the buyer may end up with a car that is not suited for his or her needs or is too expensive for his or her budget. Unfortunately, the minute the buyer leaves the car lot with their “new” car, it automatically becomes “used.” If you should feel buyer’s remorse a few blocks away (that sinking feeling that you shouldn’t have made the purchase), there is not much you can do about it.

Some dealers may have a three-day return policy, which allows the buyer to return the car in exchange for another one of equal or greater value. However, if it is not specifically mentioned in the contract, don’t assume a three-day cancellation policy exists.

Before being stuck with a car you don’t want or can’t afford, you need to become educated about the costs of ownership. Being armed with all the facts when you meet with the car salesman will give you an advantage. You will be in control of the negotiations instead of the other way around.

This chapter will help you to navigate the road to getting and keeping your first and subsequent automobiles. If you follow these directions, you will arrive at your destination without getting lost. You will learn how to:

- Do a car budget
- Conduct research
- Decide on service contracts
- Avoid impulse purchases
- Compare between interest rates and terms
- Compare various insurance companies
- Negotiate with your creditors
- Avoid repossession
- Choose between leasing or buying

